

LEC # 03

PRINCIPLE OF MANAGEMENT

The Environment and Culture of Management

In management, the environment plays a crucial role in shaping business decisions. For **Business and software companies**, both external and internal factors influence operations, innovation, and growth.

1 External Environment – Factors Affecting IT Businesses from Outside

The external environment consists of uncontrollable factors that impact an organization. Organization has no control on how the external environment elements will shape up.

1. Economic Factor

The economic dimension of an organization is the overall status of the economic system in which the organization operates. The important economic factors for business are **inflation, interest rates, and unemployment**. These economic factors always affect the demand for products.

Example:

- **During inflation**, a company pays more for its resources, and to cover the higher costs, they raise commodity prices.
- **When unemployment is high**, companies are very selective in hiring, but customers' buying power is low as fewer people are working.

2. Technological Factors

Technology plays a critical role in shaping business environments, especially in the IT industry. It affects how organizations operate, compete, and deliver value to customers. Businesses must continuously adapt to technological advancements to maintain efficiency, security, and innovation.

Example: AI-driven automation is revolutionizing industries by enhancing efficiency, reducing human error, and improving decision-making.

Why IT Businesses Must Adapt to Technological Changes

- **Competitive Advantage:** Companies that quickly adopt new technologies stay ahead of competitors.

- **Customer Expectations:** Clients demand fast, secure, and innovative IT solutions.

3. Socio-Cultural Factor

Customs, morals, values, and demographic characteristics of the society in which the organization operates make up the socio-cultural dimension of the general environment.

- The socio-cultural dimension must be well studied by a manager.
- It indicates **the product, services, and standards of company that the society is likely to value and appreciate.**
- The **standard of business varies from culture to culture**, and so does the **taste and necessity of products and services.**

4. Political/Legal Factors

- Government regulations, data protection laws, and tax policies influence IT businesses.
- Example: **GDPR (General Data Protection Regulation)** affects how companies handle user data.

5. Global Factors

- International markets, outsourcing, trade agreements, and global competition shape IT business strategies.
- Example: **Many U.S. companies outsource software development to India and Pakistan** to reduce costs.

2 Internal Environment – Factors Inside the Organization

The internal environment consists of all the factors within an organization that influence its operations, decision-making, and overall success. These factors are **within the organization's control** and include owners, board of directors, employees, and organizational culture.

1. Owners

Owners are individuals or groups who invest in a company and hold property rights over it. They play a critical role in shaping business policies and strategies.

- They have the **right to influence or change company policies** based on their stakes.
- Example: In a tech startup, the founders decide whether to focus on **AI development or cloud computing** as a business direction.

2. Employees

Employees are the backbone of any organization. They **execute tasks, drive innovation, and contribute to business growth.**

- Employees can be:
 - Administrative staff, software engineers, marketing teams, etc.
 - Members of **labor unions**, which advocate for fair wages and working conditions.
- If managed properly, employees can **boost productivity and innovation**. However, poor management can lead to dissatisfaction and high turnover.
- Example: In an IT company, **skilled software engineers** working in a positive environment can develop cutting-edge **web applications**.

3. Organizational Culture

Organizational culture is the **shared values, beliefs, and behaviors** within a company that shape how employees work and interact.

- A **strong culture** fosters **teamwork, innovation, and loyalty**.
- A **toxic culture** can lead to low morale and decreased performance.
- Elements of culture include:
 - Company values (e.g., **Google's culture of innovation and creativity**).
 - Work ethics, traditions, and leadership styles.
 - Decision-making approaches (hierarchical vs. collaborative).

Example of Organizational Culture :

- **Microsoft** encourages a growth mindset, where employees continuously learn and adapt to new technologies.
- **Amazon** focuses on customer obsession, where every business decision is made to improve the user experience.

3 Organization-Environment Relationship – Adapting to Change

Businesses must continuously **adjust their strategies** based on external and internal environmental factors.

◆ How IT Companies Adapt

1. Market Research & Innovation →

Companies analyze customer needs and improve their products.

Example: **Netflix shifted from DVD rentals to online streaming based on changing technology.**

2. Compliance with Laws →

Businesses follow legal regulations to avoid penalties.

Example: **Apple modified its App Store policies to comply with EU regulations.**

3. Adapting to Economic Shifts →

Companies adjust budgets based on financial trends.

Example: **During economic downturns, companies reduce IT spending and focus on cost-cutting.**